Name of Complex:	The Pines	
Address of Complex:	585 Corydon Avenue, Winnipeg, MB	
Panel:	M. Pollock-Kohn, Deputy Chief Commissioner	
		Attendance
Landlord:	Thorwin Real Estate LP operating as Thorwin Properties	
Represented by:	E. Pinpin, Accounting Manager D. Dorofeeva, Property Manager	By Telephone By Telephone
Tenant/Appellant:	E. Rosner - unit 10	Yes
Date of Hearing:	October 17, 2024, at 9:30 a.m.	

REASONS FOR DECISION

Background:

1. On November 9, 2023, Thorwin Real Estate LP operating as Thorwin Properties (the "landlord"), applied to the Residential Tenancies Branch (the "Branch") under s. 123(2) of *The Residential Tenancies Act* (the "*Act*") for a rent increase of 21.13 per cent. The complex consists of 11 rental units.

2. The first proposed rent increase was to take effect on February 1, 2024. The landlord's financial reporting periods for the comparison of expenses for this application are as follows:

   Current Reporting Period: April 1, 2022, to March 31, 2023
   Previous Reporting Period: April 1, 2021, to March 31, 2022

3. After considering the information provided by the landlord and its tenants, the Branch approved a maximum rent increase of 20.10 per cent and issued Orders dated February 20, 2024.

4. On February 23, 2024, the tenant filed a Notice of Appeal of the Branch's Order at the Residential Tenancies Commission (the "Commission").

The Appeal Hearing:

5. At the commencement of the hearing, the Deputy Chief Commissioner (the "DCC") introduced the panel, reviewed the parameters of a rent increase appeal and the

process of the hearing. The parties were affirmed.

Preliminary Issues

6. The Commission has practices and procedures in place regarding its hearings (s. 165(3) of the *Act*). These include that if a party wants to rely on written materials, they have to file copies of those materials, in triplicate, at least five working days before the hearing. The parties are provided copies of this policy along with notice of the hearing.

7. The tenant did not file his materials five working days prior to the hearing and asked the DCC to consider these materials even though they were late and had not been filed in triplicate. The tenant indicated that he did not file the materials within the required period because he has been challenged due to the landlord's unjust actions which have caused him property and financial losses. He has spent his time earning wages in order to afford the basic necessities of life and as a result of his financial situation, he needed to focus on work.

8. The tenant submitted that the materials filed except for the documents containing the Wi-Fi logs were provided to the landlord for the tenant claim hearing held at the Branch on June 21, 2024. The tenant advised that the landlord had copies of the materials and full knowledge of the claims. These materials are important as they provide context to the dispute and the unjust actions of the landlord which have caused him property and financial losses and show that the landlord's withdrawal of services was with willful intent. The tenant submitted that the materials should be admitted based on fairness and relevance.

9. The representatives of the landlord objected to admitting the material. They submitted that there is a lot of material that is not relevant to this appeal hearing and these issues were already dealt with at the prior unrelated tenant claim hearing at the Branch.

10. Based on all the circumstances, the panel admitted the tenant's materials subject to weight. The DCC found that the landlord had most of the material at least five days prior to the hearing and there was little prejudice to the landlord in admitting the materials.

11. The tenant also asked the panel to consider adding all the tenants to this appeal under s. 165 of the *Act* on the grounds that the other tenants are affected because their storage facilities were also withdrawn, and the evidence may lead to compensation for these tenants because of the landlord's non-compliance.

12. The representatives of landlord objected to adding the other tenants to this appeal.

13. Section 164 of the *Act* allows the Commission to add any person as a party to the

appeal as follows:

> Parties
> 164 The parties to an appeal are the persons directly affected by the decision or order appealed from and any person added as a party by the commission.

14. The Notices of Hearing from the Commission to the parties, contained a statement that the Commission has discretion to expand the appeal to include all tenants as follows:

> TAKE NOTE THAT THE RESIDENTIAL TENANCIES COMMISSION WILL DETERMINE EACH TENANT APPEAL ON ITS MERITS. WITH RESPECT TO THE HEARINGS, THE COMMISSION SHALL DETERMINE ITS OWN PRACTICE AND PROCEDURE, BUT SHALL GIVE FULL OPORTUNITY TO PARTIES TO PRESENT EVIDENCE AND MAKE SUBMISSIONS. PLEASE NOTE AS WELL THAT THE PARTIES TO AN APPEAL ARE THOSE PERSONS DIRECTLY AFFECTED BY THE DECISION OR ORDER APPEALED FROM, AS WELL AS ANY PERSON ADDED AS A PARTY BY THE COMMISSION. WHETHER OR NOT THE COMMISSION WILL EXERCISE ITS POWER TO ADD OTHER TENANTS AS PARTIES WILL BE DETERMINED ON A CASE BY CASE BASIS, IF AND WHEN THE ISSUE IS BEFORE THE COMMISSION.

15. The panel determined not to exercise its power to add other tenants as parties to the appeal pursuant to s. 164 of the *Act* based on the following reasons:

- The *Act*, in particular s. 164;
- That it is in the discretion of the Commission whether or not to add parties to the appeal and is determined on a case-to-case basis;
- The Orders from the Branch, state "If you want to appeal this Order you must apply to the Residential Tenancies Commission… no later than March 11, 2024."
- The tenants knew or ought to have known of their right to file an appeal of the Branch's Orders. They were also given a right to appeal and a reasonable amount of time to appeal the Branch's Orders. The limitation date to file an appeal was March 11, 2024, and only one tenant filed an appeal within the time period and there were no motions made for a request for an extension of time by any tenants.
- That the other tenants did not appeal the Orders of the Branch;
- There are no extraordinary circumstances found by the panel (including considering all the submissions made by the tenant below) to add new parties.

16. Therefore, based on all the circumstances and evidence, the panel determined that in the interests of justice and fairness that it would not exercise its discretion to add other tenants as parties to the appeal.

Submissions and Evidence of the Tenant

17. There is legislation other than the *Act* that applies to the relationship between him and landlord. He has valid claims against the landlord under *The Defamation Act* and *The*

Criminal Code of Canada but given the restrictions of the *Act*, he is unable to bring an action against the landlord in the Court of King's Bench.

18. The evidence indicates that the landlord has breached the *Act*. There is significant context to the dispute between him and the landlord. The landlord initially denied that he had any right to the storage unit or any right to compensation when the landlord took it away. The landlord also failed to apply to the Branch to withdraw the storage and laundry until it was pushed by him. The landlord breached the rules of the *Act* and *Regulation*, and its actions have been deceptive and have caused him property and financial damages.

19. Subsection 124 (b) of the *Act* allows a tenant to object on the grounds that the landlord has reduced or withdrawn a service or facility. Subsection 125(c) of the *Act* requires the Branch to consider any change in the services and facilities. The landlord failed to provide the Branch with the relevant information about the withdrawal of services and facilities and took away the storage units which should be considered in adding all the tenants to this appeal. The landlord also took away laundry, but some tenants have laundry in their units.

20. Subsection 137(1) of the *Act* allows the Branch to determine the value of the service removed.

21. The DCC confirmed with the tenant that the Branch issued an Order dated April 2, 2024, which found the value of the withdrawal of storage facilities and laundry was a reduction in rent of $128 per month effective February 1, 2024. The tenant agreed. The DCC asked whether he appealed this order of the Branch. The tenant advised that he did not appeal it.

22. There are still issues because of the landlord's actions. The landlord knowingly omitted that it was withdrawing laundry services and storage facilities in its rent increase application which should be taken into consideration. The landlord denied these services and was non-compliant which was illegal activity.

23. The landlord breached the *Act* by not including the information about the withdrawal of laundry facilities and storage services, by failing to apply to withdraw them properly and by causing damages. There should be administrative penalties awarded against the landlord. This is a complicated situation given the landlord's deliberate and malicious noncompliance with the law.

24. The other tenants in the building have also been denied access to their assigned storage spaces and should be added to this appeal.

25. He became a tenant in March 2012. The relevant tenancy forms do not indicate that he had storage and laundry included in rent but both storage and laundry were

included in his rent from the beginning of his tenancy. The landlord looked at the information and tried to deny that he had these services in order to avoid the fees associated with a service withdrawal under the *Act*.

26. He became aware of the renovations to convert the laundry room and storage into new unit(s) after seeing the building permit from the City of Winnipeg. He tried to appeal the decision but was told nothing could be done as he was not a property owner. He tried to discuss it with the landlord but was told that storage was not included in his rent and that his lease did not include it. The landlord was aware of the terms of the legislation but chose not to comply.

27. Subsection 61 of the *Act* provides that the landlord has a duty not to withhold service and facilities, that are expressly or impliedly promised under a tenancy agreement. He had storage facilities and laundry in his agreement, but the landlord withheld laundry services and storage facilities by taking them away and denied that he had them under his tenancy agreement.

28. Subsection 62 of the *Act* also provides that the landlord has a duty not to interfere with enjoyment. The Branch does not seem to understand the violations committed by the landlord. The landlord broke into his storage locker and moved his things into a closet and damaged his property. He understands this was part of the hearing before the Branch which he acknowledged that he has appealed but there needs to be consideration of the fact that the landlord was aware of the renovations, did not disclose them to the Branch when it applied for a rent increase and failed to comply with the relevant legislation. The landlord was planning on the renovations at the time of the application but failed to disclose them. He had no capacity to object to this as the landlord withheld that it was withdrawing services and facilities in the application.

29. With respect to the landlord's taking away of his storage, there are emails in the materials that he exchanged with the Branch. The same officer that determined the value of the withdrawal of services also determined the allowable rent increase. The Branch failed to consider the withdrawal of these services and facilities in the rent increase application.

30. The landlord also signed the Notice of Rent Increase effective July 1, 2024, which did not indicate services were withdrawn. The landlord signed this Notice with the full knowledge and intent to hide the fact that services and facilities were withdrawn. This demonstrates that the landlord misrepresented itself in terms of intention and violated ss. 62 and 138 of the *Act*.

31. The landlord and its agents were aware of the regulations but chose to be non-compliant and deceptive. The value of the withdrawal should apply to all tenants.

32. The landlord was forced by the Branch to reduce the rent because the storage was removed. The Notice of Rent Increase effective July 1, 2025, indicates that the landlord removed the tenant's discount which can be seen as a retaliatory move.

33. The evidence indicates that he is innocent of the slanderous allegations made by the landlord representative that he falsified evidence. He has included a record of systems of logs of Wi-Fi connectivity from Bell MTS that show this allegation is unreasonable.

34. Subsection 7(1)(3) of the *Regulation* provides that the Branch shall determine the total rent increase by adding together the dollar value of any change in services and facilities and other amenities which may be a positive or negative figure.

35. It is clear the landlord had the intent to be non-compliant and did not complete the forms as required. The landlord was aware of the service withdrawals but failed to disclose them in the application. The context provided should lead to a revision to the Order and all the tenants should be added as parties to this appeal.

Evidence and Submissions of the Landlord

36. The rent is higher because of the market. The average market rent for this unit is close to $1,500.

37. The economy has forced many people to make adjustments. The landlord follows the protocols set by their teams that handle the rent increases above guideline applications. It is their job to know the law and follow procedure. The tenant has a right to appeal. The landlord is not trying to do anything wrong or take advantage of the tenant. The financial circumstances of today are painful and hurtful for everyone. There is significant stress from the economy. There were no mistakes made in the application and the Branch's order should be confirmed.

38. The landlord trusts that the Branch did its due diligence. The Branch calculated the increase based on a review of the landlord's application and approved the rent increase. There have been no mistakes in the Order.

Questions:

39. The tenant asked the landlord representatives why his discount was removed one week after the hearing. The landlord representatives submitted that the landlord has a right to do so and it exercised its right. It made a financial decision as allowed by the legislation.

40. The tenant asked the landlord representatives why they did not apply to withdraw laundry and storage facilities at the beginning and why they waited so long. The

landlord representatives submitted that they did not violate any legislation.

41. The tenant asked the landlord representatives when the landlord became aware that they would be removing storage and laundry. The landlord representative advised that this is not relevant to this rent increase.

42. The tenant asked the landlord representatives to explain the capital expenses incurred. The landlord representative advised that the rent increase application is available for the tenants to view. The capital expenditures included appliances, blinds, cabinets, demolition, doors and drywall, electrical, flooring, HVAC, plumbing, tubs and fixtures.

43. The tenant asked the landlord representatives why there were no renovations done to his unit. The landlord representative advised that work was not done to all units.

44. The tenant asked the landlord representatives why they did not include the service withdrawals in the application. The landlord representative advised that they were not aware that they were going to do so until after the application was filed.

45. The DCC referred the parties to the Renewal of Tenancy Agreement between the landlord and tenant dated June 5, 2023, with a term from October 1, 2023, to September 30, 2024. The DCC asked the landlord representatives and the tenant whether the basic rent effective October 1, 2023, as $1,218, and basic rent effective July 1, 2024, as $1,340 as indicated in the Agreement are correct.

46. The landlord representatives advised that the basic rent listed of $1,340 effective July 1, 2024, was hypothetical rent as the agreement provides that the landlord was applying for a rent increase above guideline and the rent was subject to a rent increase application. The agreement provides that actual amount the tenant must pay will not exceed $1,200 and the tenant never paid more than $1,200 effective July 1, 2024.

47. The tenant submitted that he agreed to a basic rent of $1,340 effective July 1, 2024, when he signed the Tenancy Agreement and that he was also given a discount which reduced the amount payable.

48. The DCC asked the parties whether basic rent effective July 1, 2024, should be reduced by $128 pursuant to the Branch Order W2024-001539 dated April 2, 2024, which provides "the tenant's rent will be reduced by $128.00 per month beginning February 1, 2024."

49. The landlord representatives advised that the rent as approved by the Branch should be reduced as ordered by it for the withdrawal of laundry and storage.

50. The tenant advised that the basic rent should be reduced by $128 per month to account

for the withdrawal of services and facilities.

51. The landlord discussed that there may be some confusion as there was a conditional discount. The tenant advised that he understands conditional discounts.

Findings:

52. The panel considered the tenant's concerns about adding the tenants as parties to this appeal under s. 165 of the *Act*. The panel repeats and relies on the reasoning and findings made above.

53. The panel considered the mandatory considerations as well as the other considerations pursuant to s. 125 of the *Act* including the objections and concerns of the tenant. Subsection 124 of the *Act* provides that a tenant may object that the rent increase is not justified for any of the following reasons:

> **Objection by tenant**
>
> 124 A tenant who receives notice under subsection 25(1) of a rent increase referred to in subsection 123(2) may, not later than 60 days before the effective date of the intended increase, file an objection with the director on the ground that the rent increase is not justified for one or more of the following reasons:
>
> (a) the landlord is not maintaining the rental unit or residential complex;
>
> (b) the landlord has reduced or withdrawn a service and facility;
>
> (c) the landlord is not meeting any other obligation under a tenancy agreement or this Act;
>
> (d) the tenant believes the landlord's costs have not increased;
>
> (e) any other prescribed reason.

54. Subsection 125 of the *Act* provides the mandatory considerations that the Branch and Commission shall consider as well as other considerations as follows:

> **Mandatory considerations in making order**
>
> 125(3) Before making an order under this section, the director shall consider, in accordance with the regulations,
>
> (a) the rents charged for the rental units in the residential complex immediately before the proposed increase is intended to come into effect;
>
> (b) the increase in actual expenses determined in accordance with the regulations;
>
> (b.1) any rebates, incentives or grants or other benefits, including rebates under *The Property Tax and Insulation Assistance Act*, received or receivable by the landlord in relation to the services, facilities, privileges or accommodations that the landlord provides for the tenants;
>
> (c) any change in the services and facilities, privileges, accommodations or things that the landlord provides for the tenants whether or not a separate charge is made for them;
>
> (d) any ground of objection made by a tenant;
>
> (e) any finding by the director that the landlord is in contravention of the obligation to repair under subsection 59(1);
>
> (f) if the residential complex has been sold in the preceding 3 years,

(i) whether and to what extent any increases in the costs with respect to repairs and maintenance of the residential complex result from inadequate maintenance in previous years or are reasonably attributable to the cost of performing obligations of the landlord in previous years that have not been performed,

(ii) the amount of any rent increases and cost increases in previous years, and

(iii) the effect of the accumulation of these costs on the rent increase applied for;

(g) the submissions and representations made by the landlord and tenant; and

(h) other prescribed matters.

55. Under Part 9 of the *Act* and s. 7(1) of the *Residential Rent Regulation*, 156/92 (the "*Regulation*"), the total rent increase for rental units in a residential complex is determined by adding together the following amounts:

1. The change in the operating expenses;
2. A portion of the capital expenses;
3. The dollar value of any change in services and facilities and other amenities;
4. The greater of:
   a. The economic adjustment factor multiplied by revenue or
   b. 1/3 of the amount by which operating expenses and mortgage interest exceed revenue.

56. With respect to the tenant's concerns that the rent increase is excessive and not justified, a rent increase above guideline is determined by the landlord's expenses relating to the complex. The landlord decides what work to do in its building and provides copies of general ledgers and or invoices for the reported expenses. The Branch reviews the invoices and ledgers provided by the landlord to ensure the expenses are correct, reasonable and in accordance with the *Act* and the *Regulation*.

57. With respect to the concerns by the tenant that the expenses did not relate to his unit, an application for a rent increase above the amount permitted by the *Regulation* is based on the actual expenses incurred by the landlord in the operation of the residential complex as a whole. The landlord on its application apportioned the total rent increase for the residential complex amongst the rental units by an equal percentage pursuant to s. 125 of the *Act*.

58. The panel considered the tenant concerns that the landlord failed as required by the *Act* and the *Regulation* to advise the Branch in its application that it was withdrawing storage and laundry services and facilities.

59. On January 23, 2024, the landlord applied to the Branch with Form 9, an Application to Fix Value of Permanent Reduction or Withdrawal of Service in order to remove shared laundry services and storage lockers for the tenant's unit. The Branch issued Order W2024-001539 dated April 2, 2024, ("Withdrawal Order") which provided the following:

> The landlord applied for an order fixing the value of a reduction or withdrawal of service under Section 138 of The Residential Tenancies Act.
>
> After considering the information received, it is ordered that the value for the withdrawal of the Storage Facilities/Laundry is fixed at $128.00 per month. The tenant's rent will be reduced by $128.00 per month beginning February 1, 2024.

60. The Branch issued the Withdrawal Order under s. 138 of the *Act* which fixed the value of the withdrawn storage and laundry services and facilities at $128 per month effective February 1, 2024, for the tenant's unit.

61. The panel found that the rent increase for the tenant's unit is effective July 1, 2024, and the value of the services and facilities ordered by the Branch for the storage and laundry withdrawals must be applied to the rent increase for the tenant's unit as set out below.

62. With respect to the tenant's concerns that the landlord's actions with respect to laundry and storage did not comply with the *Act* and the *Regulation* and were improper, deceitful and caused damages, the panel again notes that the Branch issued the Withdrawal Order concerning these services and facilities and awarded the tenant compensation. The Withdrawal Order was not appealed by any of the parties.

63. Further, on May 17, 2024, the tenant also filed a tenant claim with the Branch for damages to personal property related to construction, storage withdrawal and rent. With respect to this claim filed by the tenant, the Branch held a hearing on June 21, 2024, and issued Order W2024-002994 dated July 15, 2024 ("Tenant Claim Order"). On July 17, 2024, the tenant appealed the Tenant Claim Order which is not related to this rent increase appeal. If the tenant feels that he has other claims, he can contact the Branch. These issues are not relevant to a rent increase appeal.

64. The tenant relied on s. 137 of the *Act* to argue that the Branch can determine the value of a service removed. Subsection 137 of the *Act* deals with situations where a tenant requests improvements. This issue is not relevant to a rent increase appeal. However, the panel notes that the tenant does not appear to have requested improvements. As set out above, the Branch issued a Withdrawal Order under s. 138 of the *Act* ordering compensation to the tenant for the withdrawal of laundry and storage facilities and services.

65. The tenant relied on s. 61 of the *Act* which provides that a landlord shall not withhold, reduce or interfere with or threaten to interfere with any service or facilities that the landlord has expressly or impliedly promised to provide or supply under a tenancy agreement. Subsection 61 of the *Act* does not apply to apply to services and facilities that are reduced or withdrawn in accordance with an order under Part 9 permitting the reduction or withdrawal (s. 61(3)(b)). The Withdrawal Order is an order under Part 9 permitting the withdrawal of laundry and storage facilities and services.

66. With respect to the tenant's concerns about a substitution of service under s. 61(4) of the *Act,* this subsection provides that on application by the landlord if any services and facilities are provided under a tenancy agreement the Branch may make an order authorizing the substitution of equivalent services and facilities. There is no evidence that the landlord made an application to the Branch for the substitution of services under s. 61(4) or that there is any application with respect to substitution of services that has been appealed to consider before this panel. Further, the panel notes this issue is not relevant to a rent increase appeal.

67. The Commission considered the tenant's concerns that the landlord breached its duty under s. 62 of the *Act* not to interfere with his enjoyment of the unit due to its actions regarding the withdrawal of storage/laundry. This appears to be a matter related to Parts 1-8 of the *Act*, and the tenant can contact the Branch. The panel further notes that the tenant appealed the Tenant Claim Order. Further, with respect to s. 62(2) of the *Act* dealing with presumed intent to contravene s. 62(1) there is not sufficient evidence that the tenant ever vacated the unit. The panel notes that it is not prepared to deal with these issues as they are not relevant to a rent increase appeal.

68. The panel considered the list of things that must be taken into account prior to making an above guideline rent increase order under s. 124(3) of the *Act* including there are no outstanding repair orders against the landlord in connection with this complex. Further, the panel notes that if the landlord removes any other services and facilities in the future in a manner that is contrary to the *Act*, the tenant can contact the Branch.

69. The primary reason that the Branch must consider a change in services and facilities (s. 125) is because it is required to determine in its calculation of the total rent increase the dollar value of any change in services (s. 7(1) 3. of the *Regulation*).

70. Based on s. 7(1.1) of the *Regulation*, the panel determined that the dollar amount found by the Branch of $128 per month for the value of the withdrawal of storage and laundry services and facilities must be applied to the basic rent effective February 1, 2024. As a result, the basic rent for the unit effective February 1, 2024, will be reduced by $128 per month. The panel notes that while the effective date of this rent increase is July 1, 2024, the reduction in rent for the value of the laundry and storage facilities is effective on February 1, 2024.

71. The panel also considered the tenant's concerns that the landlord's removal of his discount was retaliatory. Discounts are discretionary and are not relevant to a rent increase appeal. The Order does not reflect any discounts but contains the maximum legal rent that the landlord can charge for that unit. Issues regarding discounts can be dealt with separately through the Branch if the parties cannot resolve them on their own.

72. The panel also considered the tenant's concerns that an administrative penalty should be awarded against the landlord given its actions and contravention of the *Act*. The panel notes that it is also not prepared to deal with this issue as it is not relevant to a rent increase appeal. Further, as stated above, this appears to be a matter related to Parts 1-8 of the *Act* and on May 17, 2024, the tenant filed a claim with the Branch for damages to personal property related to construction, storage withdrawal and rent. The Branch held a hearing on the tenant claim and issued the Tenant Claim Order which was appealed by the tenant to the Commission on July 17, 2024.

73. Based on the submissions of the landlord and tenant, a review of the file and evidence and in accordance with the *Act*, the *Regulation*, the Branch's *Policies and Procedures Guidebook*, the Commission determined that while the adjustments made by the Branch to the landlord's expenses were reasonable, justified and in accordance with the legislation, that the Order for this unit must be amended to account for the reduction in rent effective February 1, 2024, of $128 per month pursuant to the Withdrawal Order.

74. The Commission has the power on appeal to confirm, vary or rescind the decision or order of the Branch or make any decision that the Branch could have made pursuant to s. 170(1) of the *Act*. The Commission under s. 140 of the *Act* gives the Commission on appeal the necessary authority to remedy situations where it finds that the landlord has charged excess rent under the *Act* and determine the maximum chargeable rent for the unit and the date the maximum rent increase became effective in accordance with the *Act*, *the Regulation* and the *Policy Guide*.

75. The Notice of Rent Increase dated March 20, 2024, gave the tenant notice of an increase of 20.10 per cent. It indicates a rent increase from a present basic rent of $1,218 less a discount of $193 for a total rent payable of $1,025 to a basic rent effective July 1, 2024, of $1,463 less a discount of $263 for a total rent of $1,200 effective July 1, 2024. The Branch's Order dated February 20, 2024, allowed for a maximum rent increase of 20.10 per cent effective July 1, 2024, as follows:

From:	**To a Maximum of:**
Basic Rent: $1,218	Basic Rent: $1,463
Total Rent: $1,218	Total Rent: $1,463

76. The Commission first considered if the landlord is allowed to increase the basic rent effective July 1, 2024, by more than the amount of $1,340 as indicated in the Renewal of Tenancy Agreement dated July 5, 2023, ("Agreement"). The Agreement which was signed by both the tenant and the landlord provides the following:

For a fixed term beginning on October 1, 2023 and ending on September 30, 2024

At the following rent:

Basic Rent:	Effective October 1, 2023	Effective July 1, 2024
For 0 parking stalls:	$1218.00	$1340.00
Other (specify):	$0.00	$0.00
Rent Payable:	$1218.00	$1340.00
Less Rent Discount:	$193.00	$140.00
Actual Amount Tenant Must Pay:	$1025.00	$1200.00

(Complete this section if a rent increase on the rental unit is due before the date this agreement ends.)

__The landlord plans to increase the rent by the annual rent increase guideline on ____. The landlord must provide the tenant with a Notice of Rent Increase at least 3 months before the rent is increased.

✓ The landlord plans to apply for a rent increase above the guideline to increase the rent on July 1, 2024. The proposed Rent Payable will be $1340. The landlord must provide the tenant with a Notice of Rent Increase at least 3 months before the rent is increased.

(Complete this section if there is a rent discount)

***Rent Discount**

A landlord is not required to offer a rent discount, but if a discount is given, it must be set out in writing. Reducing or removing the rent discount is not considered a rent increase under the Residential Tenancies Act. However, an unconditional discount cannot be reduced or removed unless the tenant received written notice of at least 3 months. If a tenancy agreement or discount agreement is for a fixed term, a landlord cannot reduce or remove an unconditional discount during the term of the agreement. If a discount is subject to a condition, e.g. paying the rent on time, the landlord can withdraw it without notice if the tenant does not meet the condition.

The landlord is offering a rent discount of $140.00 subject to the following conditions:

<u>Rent is paid in full and on time every month.</u>

(Provide details of any conditions-add additional pages if necessary)

__ Discount is the same as last year's or increased by $
__ Discount is reduced by $
__ Discount is removed

✓ The proposed Rent Payable is subject to an application to the Residential Tenancies Branch for an above guideline rent increase. The discount may be reduced or removed depending on the final decision on the landlord's application in any event, the Actual Amount Tenant Must Pay will not exceed **$1200.00.**

77.The Branch's *Policies and Procedures Guidebook* (the "*Policy Guide*") provides in

s. 2.12 on Tenancy Agreements (General) that when the effective date of the rent increase is not the same as the start date of the agreement, the agreement will have two columns with the first column showing the rent the tenant will pay for the first part of the agreement and the second column showing the effective date of the increase which is called a step-lease. In a case of a step-lease, the *Policy Guide* indicates that a landlord cannot later increase the amount of rent in the second column as follows:

> Sometimes the rent increase or anniversary date is not the same as the start date of a tenancy agreement. This type of agreement is often called a "step-lease". A step-lease has two columns in the "amount of rent payable" section. The first column shows the rent the tenant will pay for the first part of the agreement; the second column shows the effective date of the rent increase. **For example: The tenancy agreement is from October 1 to September 30. The anniversary date on the rental unit is April 1. The tenant pays $500.00 per month from October 1 to March 31. On April 1, the rent increases to $505.00 per month.**
>
> When a landlord needs to prepare a tenancy agreement, the landlord may not always know the actual amount to put in the second column. This can happen when:
>
> - the landlord plans to apply to the Branch for an increase above the guideline, but hasn't yet made a final decision how large an increase to apply for; or
> - the government hasn't announced the annual rent increase guideline.
>
> In these cases, the landlord must complete the second column of the tenancy agreement by:
>
> - inserting the sentence, "The landlord plans to increase the rent by the annual rent increase guideline."; or
> - inserting an amount that is the same as or slightly higher than the amount they plan to apply for. The landlord can later choose to reduce the amount of the increase, but they cannot increase it.
>
> **For example: The tenant pays $500.00 per month. The landlord does some initial calculations and is considering applying for an above guideline increase of 6%. If the landlord is confident that the 6% increase will be the amount they will be applying for, they can insert $30.00 into the second column of the agreement. If the landlord is not certain that 6% will be their final amount, they might want to show an increase of 8% to allow some flexibility. In this case, the landlord would insert $40.00 into the second column.**
>
> Once the landlord knows the actual dollar amount of the rent increase, they must still give the tenant *three months' written notice*. The tenant still has the right to object to any rent increase.

78. The landlord used the prescribed Form 4 but added the second column as set out above for the rent effective July 1, 2024. The panel found that the terms of the Agreement with respect to basic rent were clear and unambiguous. The first page of the Agreement clearly sets out in the rent section that the basic rent is $1,340 effective July 1, 2024. The second page of the Agreement provides that the "proposed Rent Payable will be $1340.00". The Agreement only indicates in the section under Rent Discount that "the proposed rent payable is subject to an application to the Branch for an above guideline rent increase and that the discount may be reduced or removed depending on the final decision on the landlord's application in any event, the actual amount Tenant must pay will not exceed $1200.00."

79. Based on the *Act, Policy Guide* and the Agreement, the panel found that the landlord cannot charge a higher basic rent than $1,340 effective July 1, 2024.

80. The Renewal of Tenancy Agreement dated June 26, 2024, from October 1, 2024, to July 1, 2025, indicates a basic and total rent of $1,335 effective October 1, 2024, to a basic rent and total rent of $1,602 effective July 1, 2025.

81. However, the panel also found that the landlord cannot charge more rent than permitted by the Withdrawal Order and that the rent increase must be applied to the present basic rent effective February 1, 2024. The maximum present basic rent and total rent effective July 1, 2023, of $1,218 was set by the previous Commission's Order dated June 22, 2023, W2022-005191-010A. The panel found that the present basic rent of $1,218 (effective July 1, 2023), in this Order must be reduced by $128 per month effective February 1, 2024, pursuant to the Withdrawal Order. As a result, effective February 1, 2024, the panel calculated the basic rent as $1,090 ($1,218 - $128), and the total maximum rent as $1,090.

82. Pursuant to ss. 140 and 123(2) of the *Act*, based on the findings set out above, the Branch's Order dated February 20, 2024, is amended to provide that the maximum chargeable rent for the rental unit is $1,090 effective February 1, 2024.

83. The panel calculated the rent increase of 20.10 per cent effective July 1, 2024, (as approved by the Branch) to the basic rent of $1,090 effective February 1, 2024, which effective July 1, 2024, amounted to a maximum basic rent of $1,309 and a total maximum rent of $1,309. As a result, pursuant to ss. 123(3) and 140 of the *Act*, the Commission set the allowable rents for this unit as follows:

- Effective July 1, 2023, the maximum rent chargeable for the rental unit is $1,218 per month;

- Effective February 1, 2024, the maximum rent chargeable for the rental unit is $1,090 per month;

- Effective July 1, 2024, the maximum rent chargeable for the rental unit is $1,309 per month.

84. The panel found that the maximum rent chargeable for this unit shall remain at $1,309 per month until such time as there is a rent increase in accordance with the *Act*. As set out above, the Branch's Order only contains the maximum legal rent that a landlord can charge and does not include discounts. If the tenant has any issues with rent refunds and/or rent overpayment, he can contact the Branch.

M Pollock

MICHELLE POLLOCK-KOHN
Deputy Chief Commissioner
December 23, 2024